TrueLift

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Restaurants and Zomato count orders that use a discount, not orders it creates, so money goes to people who'd order anyway. TrueLift uses machine learning and controlled experiments to find who a discount moves and measure the extra orders and profit: less waste, more restaurant profit and Zomato revenue.

1. Restaurants now have to approve every discount they pay for

- Aug 2026: 250+ Bengaluru restaurants threatened to quit Zomato and Swiggy over discounts run without their consent.[1]
- Zomato agreed: such discounts now start only after the owner approves them with an OTP (one-time password).[2]
- Owners say they keep ~₹40,000 of every ₹1 lakh of app orders;[3] zero-commission Ownly has ~10% of Bengaluru.[4]

2. The problem: discount redemption reports alone cannot show whether a discount generated additional orders or profit

Offer reports count the orders that **used** a discount, not the orders that came **because** of it. So owners approve discounts blind, and a discount mostly given to regulars, who would have ordered anyway, looks like a success.

Illustrative example: ₹400 orders, 70 a week from regulars. Assume a ₹60-off offer brings 30 new orders.

	Today: ₹60 off for everyone	With TrueLift: right reward per customer
New customers	Get ₹60 off until owners stop approving it.	Get ₹60 off: **30 extra orders a week.**
Regular customers	Get ₹60 off orders they would have placed anyway.	Loyalty and repeat-order rewards instead of ₹60 off every order, so they stay off Swiggy.
Restaurant profit	If approved: ₹6,000 of discounts (₹4,200 on regulars); profit 100 × ₹90 − 70 × ₹132 = **₹240 less. So owners stop approving.**	Pays ₹2,450 (₹1,800 discounts + ₹650 rewards); profit 30 × ₹90 − ₹650 = **₹2,050 more.**
Zomato commission	If approved: 100 × ₹85 − 70 × ₹100 = ₹1,500 more, **until owners stop approving; then ₹0 extra.**	30 × ₹85 = **₹2,550 more commission a week**, and the owner keeps approving.

Per ₹400 order: restaurant keeps ₹400 − ₹120 commission+GST (≈30%) − ₹148 food and packaging = ₹132; Zomato's gross commission is ₹100 (25%). With ₹60 off: ₹340 − ₹102 − ₹148 = ₹90; Zomato ₹85. Assumed: the restaurant pays all discounts and rewards (rewards don't reduce the bill) and the 30 orders are new to Zomato; under step 3, Zomato would share the new-customer discount.

3. How TrueLift works, inside Zomato's existing offer flow

1 · Before approval
On the OTP screen the owner sees a forecast of extra orders and profit, plus a better version (e.g. only customers with no order in 30 days, off-peak, a minimum order).

2 · While it runs
Shown only to customers likely to order because of it. A random 10% don't see it; comparing the two groups shows the real extra orders.

3 · Who pays
Restaurant gains: it pays. Zomato gains new customers: it pays or shares. Nobody gains: no offer.

4 · Every week
WhatsApp to the owner: "30 extra orders, ₹2,050 extra profit. Keep, change or stop?" Losing offers auto-pause.

Regulars (3+ orders a month) are not cut off: loyalty rewards, plus a comeback coupon the moment they start ordering less.

4. How TrueLift improves discount outcomes

More extra orders, profit and commission ↑ Discounts go only where they create orders: in the example, the restaurant makes ₹2,050 more profit and Zomato earns ₹2,550 more commission a week, instead of running an offer that gets stopped. Zomato's own discounts also stop going to people who'd order anyway (food delivery runs on a ~5.6% margin[5]).

Higher order value (AOV) ↑ With ₹400 baskets, TrueLift can test "₹60 off above ₹449" so customers add an item; kept only if profit rises (never a stricter minimum than Swiggy's).

More menu visits become orders (ATC) ↑ The discount goes to people browsing a menu who may order because of it, not to customers who would have ordered anyway.

Each of these is tested against the same 10% control group and kept only if it adds orders and profit.

5. How we'll build it

- **Data:** Meituan's 5.5M-coupon experiment[6] + a simulated Bengaluru from real Zomato restaurants[7] (true effects known).
- **Models:** machine-learning uplift models find who orders only because of a discount; controlled tests measure the extra orders and profit against blanket discounts.
- **Product:** a working service with the four steps above, a restaurant-app prototype and the weekly WhatsApp summary.
- **Rollout:** a silent test on live offers first, then a Bengaluru pilot, then all cities (~3.3 lakh active restaurants[8]).

Sources: [1] Inc42 · [2] Angel One · [3] The News Minute · [4] Moneycontrol · [5] Eternal Q1 FY27 · [6] Meituan MT-LIFT · [7] Kaggle · [8] MediaNama